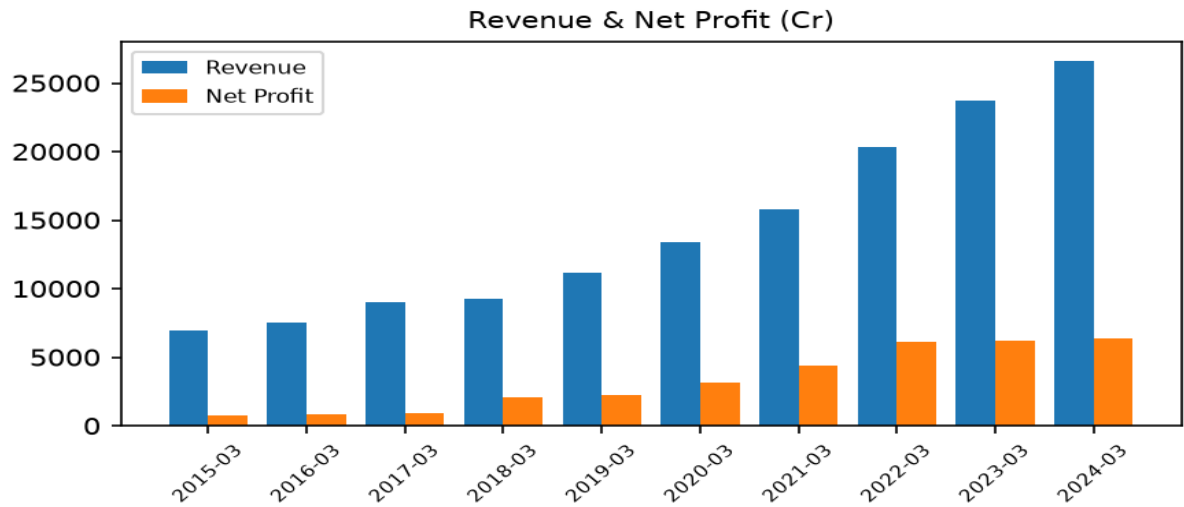


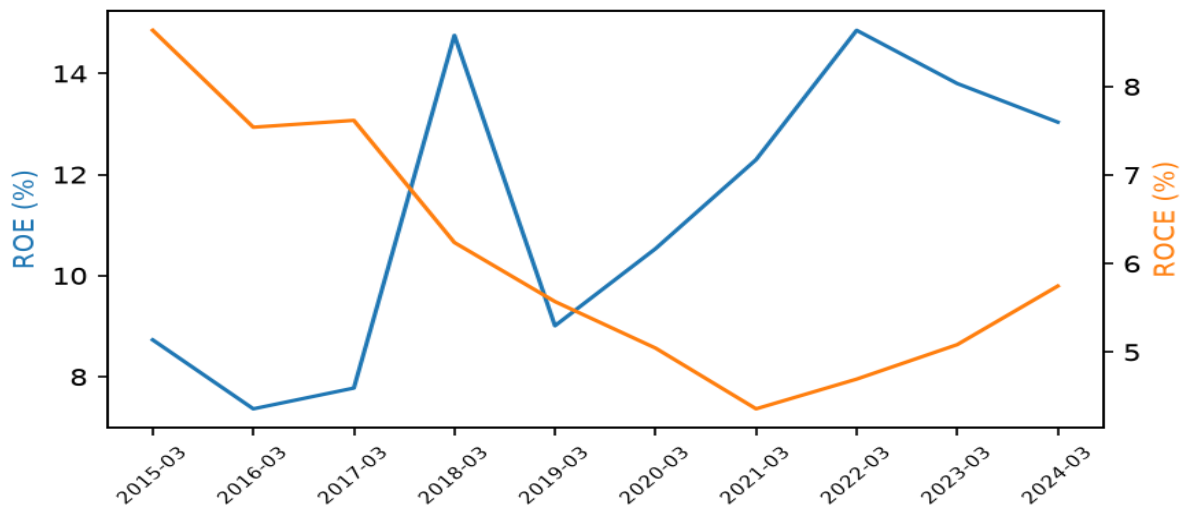
# Indian Railway Finance Corporation Ltd (IRFC)

|                     |                                  |                                      |
|---------------------|----------------------------------|--------------------------------------|
| <b>ROE</b><br>13.0% | <b>ROCE</b><br>5.7%              | <b>Net Profit Margin</b><br>24.1%    |
| <b>D/E</b><br>8.4   | <b>Revenue CAGR 5yr</b><br>19.1% | <b>Free Cash Flow (Cr)</b><br>7906.0 |

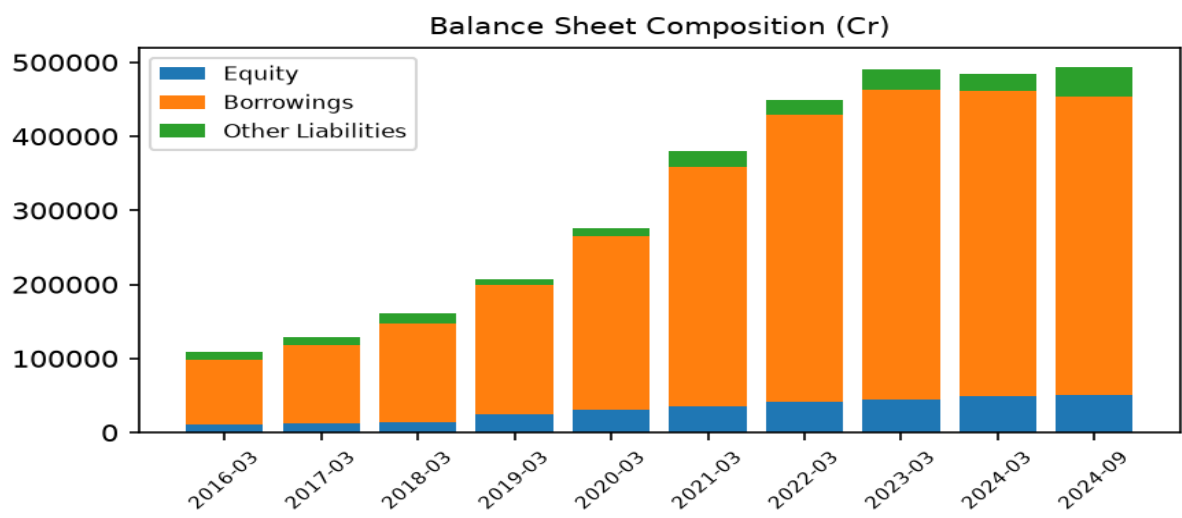
## Revenue & Net Profit (10yr)



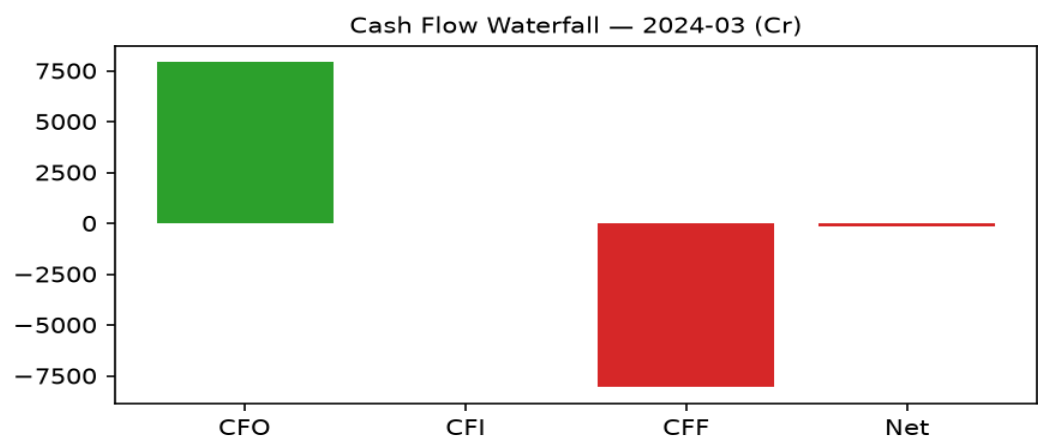
## ROE & ROCE (10yr)



## Balance Sheet Composition



## Cash Flow (Latest Year)



### Pros

- ✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
- ✓ Consistent dividend yield above 2% backed by positive free cash flow
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

### Cons

- ✗ Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- ✗ Debt-to-equity of 8.38 is a general leverage level worth monitoring alongside sector peers.

Capital Allocation: Shareholder Returns